INVESTMENT RATIONALE / MODULAR CAPITAL PROGRAMME

Build the evidence. Then scale the experience.

A 12-month, milestone-based capital programme for a child-centred interactive learning and play company.

Modular funding envelope | 12 months from first close

CORE EXECUTION	EXPANSION
€250k	€150k

Separate investor contributions finance one non-duplicated company plan; expansion is released only at milestones.

FUNDING DESIGN	PROPOSED PROGRAMME	WHY IT MATTERS
Core capital	€250,000	Retain five co-founders, build controlled voice MVP, verify safety and usability
Evidence-gated expansion	€150,000	Deepen engineering, independent validation, market and partner tests
Full illustrative envelope	€400,000	Integrated 12-month programme; does not represent a signed financing round

The investment case

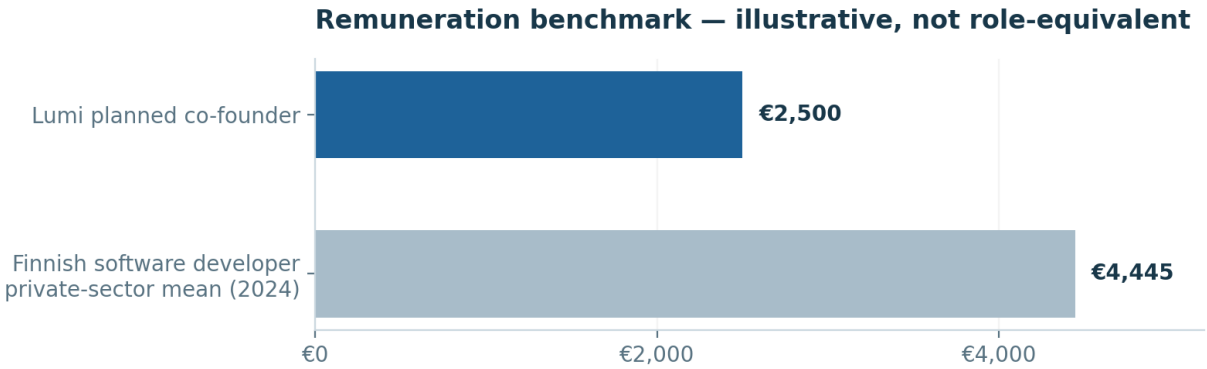
Laughing Lumi can turn focused product development into a stronger commercial decision: first create a bounded, child-appropriate voice and play experience; then prove its reliability, evaluate parent and educator relevance, and release additional expenditure only where the evidence supports it. The proposed programme avoids launching a broad, expensive content catalogue or many national versions before demand and child-facing reliability are established.

The €400k programme is a management planning scenario, not a fixed valuation, forecast revenue or an assertion that capital has been committed. Investors may participate in the same unified programme at different ticket sizes. No underlying cost is counted more than once.

Five co-founders. One consistent remuneration policy.

The shared plan allocates €2,500 per co-founder per month for all five named contributors, starting in M1. This is modelled as gross monthly remuneration. Work arrangements and social-insurance classifications must be documented before contracts are executed; “co-founder” alone does not determine payroll law.

CO-FOUNDER	MONTHLY (€)	12-MONTH COST (€)
Zezhao	2,500	30,000
Kirsi	2,500	30,000
Henri	2,500	30,000
Jenni	2,500	30,000
Ganesh	2,500	30,000
TOTAL	12,500	150,000



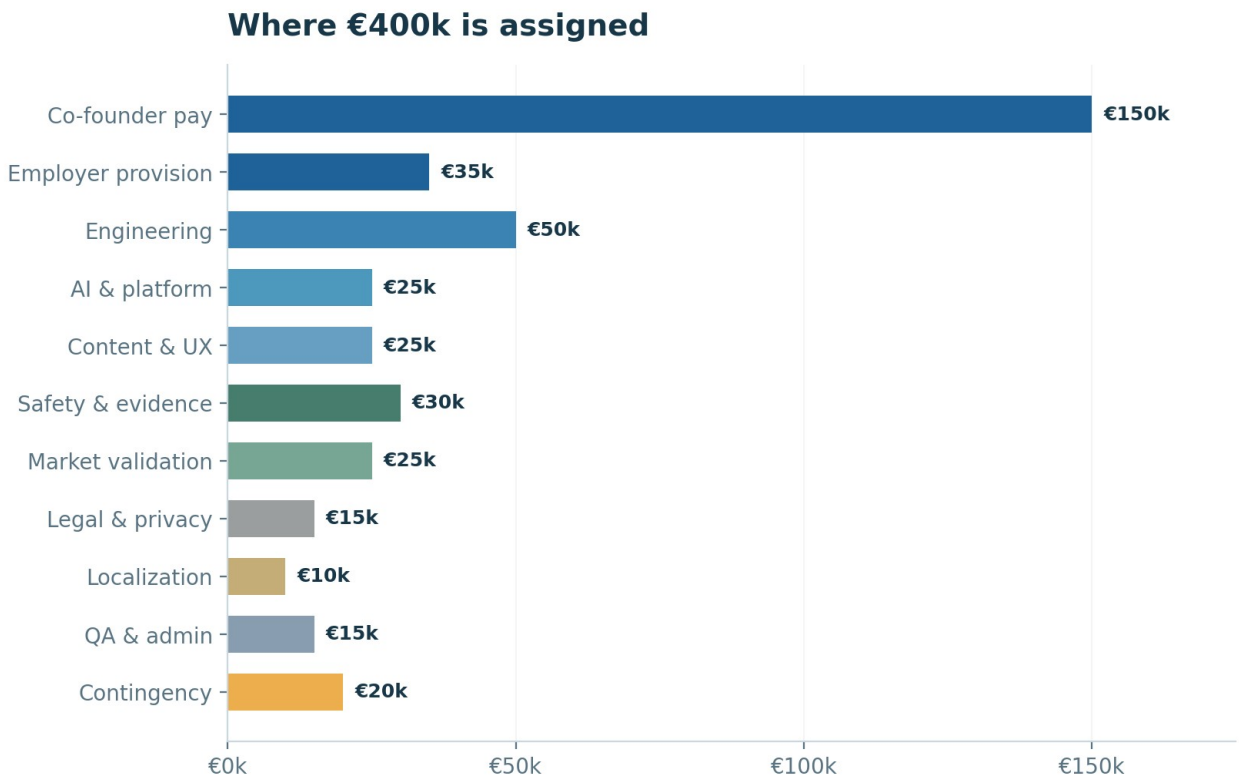
Independent Finnish context: Duunitori reports a 2024 private-sector average gross monthly salary of €4,445 for the “software developer” occupational category (3,859 salaries). The comparison indicates that €2,500 is deliberately restrained, but it is NOT a job-for-job comparison across five diverse co-founder functions. Source: Duunitori (n.d.).

Payroll and insurance provision: €35,000 across 12 months (23.3% of founder remuneration) is an illustrative budgeting buffer, informed by the 20–25% indirect salary-cost indication in Suomi.fi. Finnish TyEL/YEL treatment depends on actual ownership, leadership and working arrangements; individual accounting outcomes can differ materially. Source: Suomi.fi (2026); Finnish Centre for Pensions (2026).

One auditable budget, two capital phases

The table shows a €400,000 programme split into a €250,000 essential delivery portfolio and a €150,000 conditional acceleration portfolio. Amounts are rounded intentionally but have explicit quantities, work packages and execution gates; market-pricing claims are not inferred from these budget envelopes.

USES OF CAPITAL (€000)	CORE	EXPANSION	TOTAL
Co-founder remuneration	150	0	150
Insurance / employer provision	30	5	35
Product & mobile engineering	24	26	50
Voice AI & platform operations	10	15	25
Interaction & content design	8	17	25
Child safety & product evidence	10	20	30
Market & partner validation	4	21	25
Privacy, IP & legal review	5	10	15
Priority-market localization	0	10	10
QA, tools & administration	4	11	15
Unspent contingency	5	15	20
TOTAL	250	150	400



€380,000 is scheduled for planned delivery; €20,000 is held as a management-controlled contingency. Gross founder remuneration accounts for 37.5% of the complete programme and 60% of the essential €250k tranche. An investor's cheque is a financing source, not an exclusive ownership of a cost line.

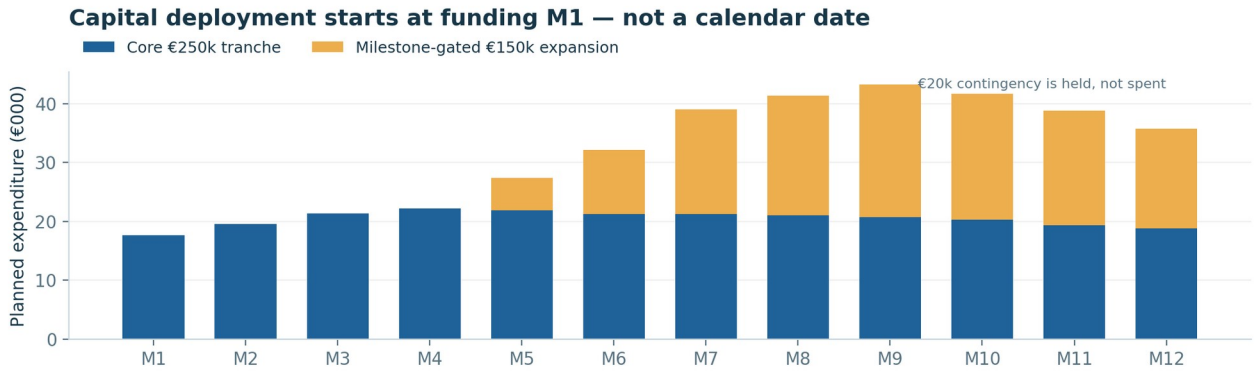
Why these budget lines are credible

CATEGORY / ENVELOPE	BOTTOM-UP BASIS	EVIDENCE & CONTROL
Engineering €50k	100 paid specialist days × €500/day, subject to competitive quotes	Unit-price planning assumption; work accepted by integration tests, code/IP delivery
Voice + cloud €25k	Annual controlled spend ceiling; vendor rates applied to observed audio/token demand	ElevenLabs publishes e.g. realtime STT $0.39/audio hour; speech-agent engine $0.08/min; not a full blended cost
Content/UX €25k	5 defined packages × €5k	Constrain language load and reinforce learning-relevant interaction; study-specific evidence
Safety/validation €30k	3 study and expert-work packages × €10k	UNICEF child-AI guidelines + independent dialogue, ASR and privacy tests
Market discovery €25k	Up to 5 gated channel experiments × €5k	Parent and educator testing before acquisition scale; no invented CAC
Legal/privacy €15k	3 scoped counsel work packages × €5k	Rights, child data, research protocol and contracts; formal quotes needed
Localization €10k	2 limited pilot language/content packs × €5k	Only after priority market and age band chosen; not eight-language launch
QA/admin €15k	Device testing, security/QA, reporting, finance tools over 12 months	Common operating controls and periodic vendor spending checks

The rounded unit rates above are explicit procurement assumptions, NOT published industry averages or contracted prices. Their credibility comes from the defined scope and acceptance evidence, the separate contingency, and external sources explaining why each activity is required. Quote review or actual usage telemetry will replace the assumptions before commitment.

Month 1 begins when the programme is funded

M1 is defined by first verified proceeds received and approval of the core spending plan. This is a relative schedule, not “November 2026.” Additional investor funds are shown only in the phase they support; the expansion programme is planned from M5 onward, subject to independent financing and delivery checkpoints.



PERIOD	CAPITAL OBJECTIVE	TARGET EVIDENCE
M1–M3	Source and rights audit; baseline child-language and safety specification	Delivery agreement; architecture; sample logs; documented safeguards
M4–M6	Demonstrate structured voice/play MVP in adult-only staging	Repeatable prompt/ASR tests, reliability failures and known unit costs
M7–M9	Run ethically approved formative parent/educator pilots	Validated research protocol, guardian feedback, observable task metrics
M10–M12	Test a focused market proposition and prepare next financing evidence	Documented retention/interest signals, budget vs actual and stage-gate decision

The first €250k tranche is a full-year CORE case but only a limited market pilot: it does not assert that a broad launch has occurred. €150k is an additive, stage-gated growth envelope, not a duplicated payroll budget. If expansion financing is not closed, uncommitted expansion activities remain off the purchase schedule.

What established businesses actually tell us

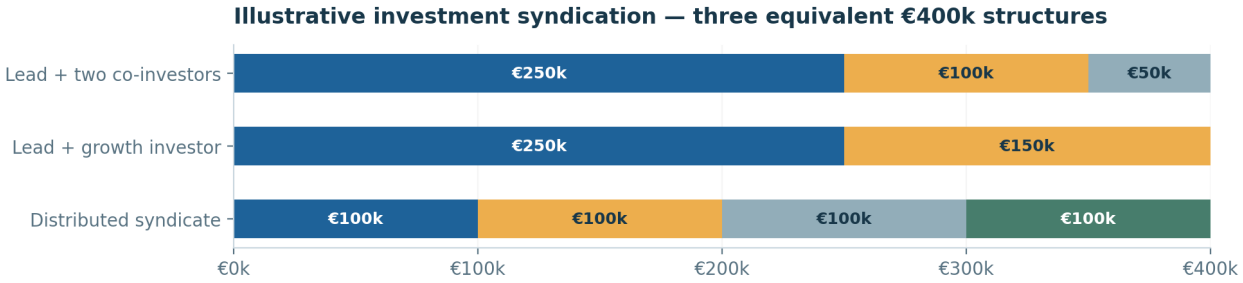
REFERENCE CASE	WHAT THE PUBLIC SOURCE SHOWS	INVESTABLE LESSON FOR LUMI
Duolingo · 2025 SEC filing	R&D $306.3m; sales & marketing $125.7m; growth-stage public company, not comparable scale	Prioritise repeatable product engineering and measured engagement, not a copied spending ratio
Lingokids · 2025 company release	$120m new financing described for content expansion, partner IP and AI-enabled content	Licensing and broad content scale belong after a differentiated core play product exists
Khan Academy Kids · 2026 pricing	Free for families/teachers; institutional layer $5 per student/year	Parent household choice and educator procurement have different pricing, onboarding and support requirements
Child literature synthesis · Takacs et al. 2015	Meta-analysis of 43 studies, 2,147 children; aligned multimedia helped, distracting interaction could harm	Pay for developmental fit, speech clarity and measured comprehension; no automatic learning-efficacy claim
UNICEF · AI and Children v3	Child-focused design requires safety, privacy, transparency, well-being and fairness	Separate independent safety, caregiver control and data-governance spending from feature development

How Lumi can be capital-efficient — hypotheses to verify

First, shared co-founder remuneration can keep fixed management spend transparent, while contracts are used only for specialist delivery. Second, a carefully limited number of activity states, guided voice prompts and measurable repair pathways can reduce unnecessary engineering complexity. Third, provider-level usage controls make speech and model costs observable. Fourth, independent safety and educational measurement can prevent premature release and rework. Fifth, parent/educator interviews precede larger distribution purchases. These are intended execution advantages—not demonstrated lower CAC, increased learning or revenue.

Different investors. One consistent company programme.

A common company-level Use of Funds supports conversations with individual angels, strategic investors and a syndicate without changing the underlying cost base. A prospective investor can consider a €50k, €100k, €150k or €250k participation, while each contribution remains part of the same master budget. Instrument, valuation, equity and timing are separately negotiated; no allocation of equity is implied by these examples.



WHAT IS IDENTICAL FOR EVERY INVESTOR	WHAT CAN VARY BY INVESTOR
€400k illustrative 12-month programme and its underlying costs	Investment size, instrument and signature/settlement date
Five co-founders at €2,500/month in the model	Information rights and negotiated terms
€250k essential + €150k conditional execution envelopes	Whether funds close together or through separately confirmed commitments
Evidence-gated milestones and spending controls	Investor-specific focus or sector dialogue, but never invented financial performance

Co-investor subscription receipts must be entered in the finance ledger only after settlement; pending discussions are not cash. Investor-facing material should focus on outcomes and the financing strategy, not make unverified claims about existing bank balances. No second investor funds the same cost twice: a common spending ledger controls allocations.

What the capital is intended to buy

GATE	DELIVERABLE INVESTORS CAN REVIEW	RELEASE CONDITION
G1 · Foundation	Rights and product architecture dossier; target age/use cases; acceptance plan	Before unrestricted child-facing processing
G2 · Safe interaction	Demonstrable bounded voice MVP; ASR/test logs; caregiver repair paths	Independent technical and child-safety review
G3 · User evidence	Parent/educator research, usability outcomes and cost-per-session traces	Consent, ethics and approved safeguarding protocol
G4 · Commercial signal	Documented local price/offer tests, distribution experiment and observed funnel	No acceleration absent measured channel results
G5 · Next financing	Actual expenditure ledger, code provenance, evidence register and follow-on plan	Founders and independent reviewers sign off

Reporting model: (1) budget approved by work package; (2) cash committed and paid; (3) delivered evidence and release gate; (4) measured risks and open decisions; (5) reserve still held. Reported metrics should be sourced to actual product logs, invoices, signed team terms or study records. Published research motivates tests but does not establish Lumi efficacy or commercial traction.

Investor disclosure note

This report is a proposed spending framework, not a financial audit, valuation document, term sheet or evidence of funds received. The €35k employment and insurance allowance is preliminary; founder eligibility for Finnish pension and payroll systems, legal ownership, contracting and tax residence can change actual cost. Product supplier workloads and external supplier day rates must be confirmed. The full programme cannot be called fully funded until actual commitments have closed. No grant assumption or uncertain commercial revenue is included in the financing stack.

References and diligence trail

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Evidence classifications: Public/academic source = direct external evidence; cost line = management assumption unless an identified supplier rate applies; milestone = intended output subject to acceptance; projected financing = scenario until legally committed and settled.